

The Iron Law of Averages

A loan-for-cash scam towards the end of November undermined market sentiment further. It involved Money Matters, a Mumbai-based NBFC, senior officials at LIC Housing Finance, LIC of India, and some public sector banks.

Money Matters had suddenly shot to fame over the last year or so. Its fast-talking and ambitious founder Rajesh Sharma had begun his career in the financial market from a hole-in-the-wall office at Fort in the late 1990s. A chartered accountant by profession, Sharma's skill at finding buyers for large blocks of shares of mid- and small-sized companies was much in demand with corporations.

Sharma was well networked with important fund managers, which helped him put through some difficult deals. In 2001-02, he is said to have befriended a senior official at a retail broking house that, in a few years, would be counted among the top brokerages in the country. Talk was that this official convinced some of his high net worth clients to buy the shares that Sharma was looking to sell. That turned out to be a major break for Sharma, and from then on, the size of his deals kept getting bigger.

But Sharma was a more active player in the opaque world of bonds, where he was known for his ability to find buyers for illiquid bonds. Sharma hit the big time in equity circles in 2007, when he managed to place large blocks of shares for Bank of Rajasthan and Deccan Aviation (which subsequently became Kingfisher Airlines) with institutional investors. Despite gaining acceptance in the more glamorous world of shares, Sharma